Practice workbook · External factors affecting business decisions

Social, technological, environmental and political factors outside the business, their impact on decisions, and how a business responds.

8 question parts: 1 worked-example retry and 7 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S1-26

1. Question 1 · part g · 6 marks

2020 NOV · Paper 01 (regional R)

Worked-example retry · Attempt part g only.

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1 *Loaf*, a bakery and cookery school, was set up by Tom Baker in Birmingham, UK. The aim is to promote real food and healthy living. It wants to use its skilled chefs to bring real food to the kitchens of the local community. It uses its cookery courses and bakery to help restore the local high street. *Loaf* also hosts pop-up events (one-off events) in different parts of the city where it shows off its products. Any profit made through these events is directed towards furthering *Loaf*'s charitable work.

Loaf operates a scheme called 'Waste Not'. At the end of the day *Loaf* donates any leftover food to charities who distribute it to local people. In addition, *Loaf* provides a recycling hub for the local community.

Loaf is a social enterprise with nine members of staff; six of whom are directors.

(a) (i) Which **one** of the following is a non-financial business objective?

(1)

Select **one** answer.

- ☒ **A** Profit
- ☒ **B** Sales
- ☒ **C** Market share
- ☒ **D** Personal satisfaction

(ii) Which **one** of the following is a part of the Boston Matrix?

(1)

Select **one** answer.

- ☒ **A** Rising star
- ☒ **B** Risk assessment
- ☒ **C** Product packaging
- ☒ **D** Extension strategy

(iii) Which **one** of the following is an additional payment to a basic wage?

(1)

Select **one** answer.

- ☒ **A** Promotion
- ☒ **B** Bonus
- ☒ **C** Job enrichment
- ☒ **D** Piece rate

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1. Question 1 · part g · 6 marks

2020 NOV · Paper 01 (regional R)

Worked-example retry · Attempt part g only.

Figure 1 shows the product life cycle diagram.

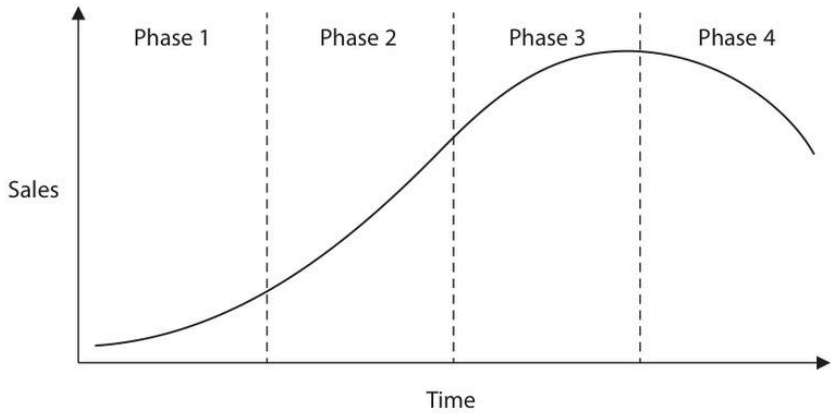


Figure 1

(iv) Which **one** is the correct label for Phase 2? **(1)**

Select **one** answer.

- ☒ **A** Growth
- ☒ **B** Decline
- ☒ **C** Introduction
- ☒ **D** Maturity

Loaf charges £165 for its day-long 'Seafood Masterclass' course. The cost to *Loaf* of running this course is £66.

(v) What mark up has *Loaf* applied to this course? **(1)**

Select **one** answer.

- ☒ **A** 99%
- ☒ **B** 150%
- ☒ **C** 231%
- ☒ **D** 250%

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1. Question 1 · part g · 6 marks

2020 NOV · Paper 01 (regional R)

Worked-example retry · Attempt part g only.

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Loaf is offering some Japanese students the opportunity to take part in a two-hour 'Bao and Dumplings' course. The course will cost £65.

The exchange rate is £1 (Pound) = 148.86 JPY (Japanese Yen).

(vi) Which **one** of the following amounts would a student pay for this course in Yen?

(1)

Select **one** answer.

- ☒ **A** 65.00 JPY
- ☒ **B** 148.86 JPY
- ☒ **C** 9620.00 JPY
- ☒ **D** 9675.90 JPY

(b) Define the term **capital intensive production**.

(1)

(c) Define the term **quantitative data**.

(1)

(d) State **one** reason why Tom Baker set up his business as a social enterprise.

(1)

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1. Question 1 · part g · 6 marks

2020 NOV · Paper 01 (regional R)

Worked-example retry · Attempt part g only.

Tom Baker is looking to increase his profits so *Loaf* can support more local projects.
The revenue from his pop-up events in 2016 was £23 546. In 2017 this increased by 3%.

(e) Calculate the revenue for 2017. You are advised to show your working.

(2)

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(f) Explain **one** method a small business might use to increase its profit.

(3)

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1. Question 1 · part g · 6 marks

2020 NOV · Paper 01 (regional R)

Worked-example retry · Attempt part g only.

(g) Analyse the importance of environmental factors for *Loaf*.

(6)

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(Total for Question 1 = 20 marks)

1. Question 1 · part g · 6 marks · Working and answer

Working and answer

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2. Question 2 · part a · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part a only.

2 (a) State **one** external factor that could cause a change in demand for *NOF* products.

(1)

(b) State **one** reason *NOF* might use other retailers to sell its products.

(1)

(c) Explain **one** benefit to a business of using secondary market research.

(3)

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2. Question 2 · part a · 1 mark · Working and answer

Working and answer

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3. Question 1 · part a.iv · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part a.iv only.

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1 *Artify Studio* was set up in 2015 by Tay Hui Jae in the busy Kampong Glam area of Singapore. *Artify Studio*'s aim is to have 'a communal art space where people can come together and paint, where people would be given as much creative freedom as they would have if they were in their own spaces.'

Artify Studio provides many services including its popular Liberty Art Jam where customers can paint as well as listen to music. The studio offers a Corporate Art Jam and Regular Kids Classes. Customers can purchase art materials after attending the studio.

Artify Studio is a profit-making organisation with a social element. It employs seven part-time people, all of whom are art enthusiasts.

(a) (i) Which **one** of the following functional areas is responsible for the recruitment of new employees?

(1)

Select **one** answer.

- ☒ **A** Finance
- ☒ **B** Marketing
- ☒ **C** Production
- ☒ **D** Human Resources

(ii) Which **one** of the following is an internal source of finance?

(1)

Select **one** answer.

- ☒ **A** Overdraft
- ☒ **B** Selling assets
- ☒ **C** Venture capital
- ☒ **D** Crowdfunding

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3. Question 1 · part a.iv · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part a.iv only.

(iii) Which **one** of the following is a main feature of the statement of comprehensive income?

(1)

Select **one** answer.

- ☒ **A** Current assets
- ☒ **B** Non-current liabilities
- ☒ **C** Cost of sales
- ☒ **D** Capital employed

(iv) Which **one** of the following is a political factor that can affect a business?

(1)

Select **one** answer

- ☒ **A** Taxation
- ☒ **B** Global warming
- ☒ **C** Habitat destruction
- ☒ **D** Part-time workers

Running the Liberty Art Jam costs *Artify Studio* S$10 Singapore Dollars (SGD). People attending the course are charged S$35.

(v) What markup has *Artify Studio* applied to this service?

(1)

Select **one** answer

- ☒ **A** 35%
- ☒ **B** 45%
- ☒ **C** 250%
- ☒ **D** 350%

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3. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

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4. Question 1 · part d · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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1 *Café Pinch* is a small café based in Berlin, the capital city of Germany. It serves a range of hot and cold meals. The owner, Kumaran, trained in good Berlin restaurants and cafés before starting his own café business. It opened in December 2018. It has 10 seats in front of the café and 10 inside. It is located close to an underground station. Despite being surrounded by many other cafés, *Café Pinch* received 5 out of 5 in online reviews. The reviewers commented on the high-quality cooked food, filled Ciabattas, range of drinks and excellent customer service. The café is open 8am–5pm every day. It has a website which is used for information purposes only.

(a) (i) Which **one** of the following is an example of an internal source of finance?

Select **one** answer.

(1)

- ☒ **A** Overdraft
- ☒ **B** Crowdfunding
- ☒ **C** Retained profit
- ☒ **D** Share capital

(ii) Which **one** of the following is a result of average costs rising in a growing large business?

Select **one** answer.

(1)

- ☒ **A** Economies of scale
- ☒ **B** Diseconomies of scale
- ☒ **C** Purchasing economies
- ☒ **D** Financial economies

(iii) Which **one** of the following is the money left after all costs have been subtracted from revenue?

Select **one** answer.

(1)

- ☒ **A** Gross profit
- ☒ **B** Inflows
- ☒ **C** Loss
- ☒ **D** Profit

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4. Question 1 · part d · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

(iv) Which **one** of the following is a debt payable after 12 months?

Select **one** answer.

(1)

- ☒ **A** Non-current liability
- ☒ **B** Current liability
- ☒ **C** Non-current asset
- ☒ **D** Current asset

Café Pinch sells many filled Ciabattas. The most popular is mozzarella cheese and avocado, selling for €5.30. The cost of making this Ciabatta is €2.56.

(v) Which **one** of the following is the markup for the mozzarella cheese and avocado Ciabatta?

Select **one** answer.

(1)

- ☒ **A** 48%
- ☒ **B** 93%
- ☒ **C** 107%
- ☒ **D** 207%

Café Pinch wants to add French Fries to its menu. It will use British potatoes costing £0.82 per kilo.

The exchange rate is €1 (euro) = £0.84.

(vi) Which **one** of the following would *Café Pinch* pay in euros if it bought 50 kilos of potatoes?

Select **one** answer.

(1)

- ☒ **A** €59.52
- ☒ **B** €48.81
- ☒ **C** €42.00
- ☒ **D** €41.00

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4. Question 1 · part d · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

(b) Define the term **variable cost**.

(1)

(c) Define the term **niche marketing**.

(1)

(d) State **one** way *Café Pinch* can react to external social factors affecting its business.

(1)

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4. Question 1 · part d · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

Customers who buy a ham Ciabatta for €7.50, a sweet waffle for €2.90 and a coffee at €3.60 would pay a total of €14.00. A lunchtime special deal offers them a 5% discount.

(e) Calculate what a customer would pay for these three items after the discount is applied. You are advised to show your working.

(2)

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(f) Explain **one** advantage to a start-up business of using a venture capitalist.

(3)

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4. Question 1 · part d · 1 mark · Working and answer

Working and answer

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5. Question 3 · part d · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part d only.

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3 Saving the environment in which we all live is important. The Chairman ensures that *Emirates* works hard to recycle many of the materials it uses and to reduce atmospheric pollution from the fuel that powers its aircraft. Water consumption for washing aircraft has been reduced, newspapers and other paper products collected from *Emirates* aircraft cabins are recycled. *Emirates* uses a variety of methods to monitor its employees when carrying out these jobs. For these roles *Emirates* uses a short chain of command.

(a) Define the term **hierarchical structure**.

(1)

(b) Outline **one** reason why *Emirates* has a short chain of command for monitoring its employees when recycling.

(2)

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Emirates used 13,457,776 litres of petrol in 2016–2017. In 2017–2018 it reduced this figure by 12.5%.

(c) Calculate the number of litres of petrol that *Emirates* used in 2017–2018. You are advised to show your workings.

(2)

..... litres

5. Question 3 · part d · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part d only.

(d) Analyse why *Emirates* would want to be more environmentally friendly.

(6)

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5. Question 3 · part d · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part d only.

Emirates wants to improve its market share to regain its number one position with passengers. It needs to improve its promotional activities. It is considering two options:

Option 1: increase the number of special offers

Option 2: increase advertising via social media.

(e) Justify which **one** of these two options *Emirates* should use. **(9)**

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5. Question 3 · part d · 6 marks · Working and answer

Working and answer

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6. Question 1 · part g · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part g only.

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1 *The Better Toy Store (TBTS)* is a children's toy shop. *TBTS* has three shops in Singapore. Two of the shops are located in busy shopping malls and the third is located at the Jewel Changi Airport. *TBTS* has a website for customers looking to buy toys online.

TBTS selects toys to sell that are excellent for play, value, design and quality. All *TBTS* toys are environmentally friendly.

(a) (i) Which **one** of the following is a form of promotion that targets a specialised segment of the market?

Select **one** answer.

(1)

- ☒ **A** Mass marketing
- ☒ **B** Niche marketing
- ☒ **C** Market share
- ☒ **D** Market analysis

(ii) Which **one** of the following is a financial aim for a business?

Select **one** answer.

(1)

- ☒ **A** Survival
- ☒ **B** Challenge
- ☒ **C** Social objectives
- ☒ **D** Personal satisfaction

(iii) Which **one** of the following is a variable cost?

Select **one** answer.

(1)

- ☒ **A** Rent paid
- ☒ **B** Management salaries
- ☒ **C** Insurance agreed
- ☒ **D** Raw materials

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6. Question 1 · part g · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part g only.

(iv) Which **one** of the following is a role of the production function?

Select **one** answer.

(1)

- ☒ **A** Workforce planning
- ☒ **B** Quality control
- ☒ **C** Customer service
- ☒ **D** Staff welfare

TBTS buys its balloon packs from a local supplier for 7.20 Singapore Dollars (SGD) a pack. It sells them to customers for 16.90 SGD.

(v) Which **one** of the following is the markup on a pack of balloons?

Select **one** answer.

(1)

- ☒ **A** 7.20 %
- ☒ **B** 9.70 %
- ☒ **C** 69.84 %
- ☒ **D** 134.72 %

TBTS sells balloons in packs of four at a price of 67.60 SGD.
The exchange rate is 1 SGD = 3.05 Malaysian Ringgit (MYR).

(vi) Which **one** of the following would a customer in Malaysia pay in MYR for 4 balloon packs?

Select **one** answer.

(1)

- ☒ **A** 16.90 MYR
- ☒ **B** 22.16 MYR
- ☒ **C** 67.60 MYR
- ☒ **D** 206.18 MYR

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6. Question 1 · part g · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part g only.

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(b) Define the term **primary sector**.

(1)

(c) Define the term **diseconomies of scale**.

(1)

(d) State **one** factor *TBTS* should consider when selecting its manufacturers.

(1)

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Figure 1 is a financial extract from *TBTS* based on the sale of 160 wooden toy carts.

	SGD
Variable costs per unit	0.93
Fixed costs	555.31

Figure 1

(e) Calculate the total costs for *TBTS* of making 160 wooden toy carts. You are advised to show your working.

(2)

SGD

6. Question 1 · part g · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part g only.

(f) Explain **one** advantage of being a sole trader.

(3)

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6. Question 1 · part g · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part g only.

(g) Analyse the likely impact of external factors on business decisions made by *TBTS*.

(6)

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(Total for Question 1 = 20 marks)

6. Question 1 · part g · 6 marks · Working and answer

Working and answer

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7. Question 4 · part b · 6 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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4 *M&M* sells its tractors to the UK. Its tractors sell for 14 000 000 Indian Rupees.

The exchange rate is 103 Indian Rupees = £1 (GBP).

(a) Calculate, to 2 decimal places the cost of the tractor in pounds sterling (GBP). You are advised to show your working.

(2)

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7. Question 4 · part b · 6 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(b) Analyse why *M&M* wants to continue planting trees.

(6)

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7. Question 4 · part b · 6 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(c) Evaluate why *M&M* uses cash flow forecasting to help inform decision making. You should use the information provided as well as your own knowledge of business.

(12)

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7. Question 4 · part b · 6 marks · Working and answer

Working and answer

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8. Question 3 · part d · 6 marks

2023 NOV · Paper 02

Further practice · Attempt part d only.

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3 *Kraft Heinz* has set itself many targets to reach before 2025. These include reducing its impact on the environment and improving its use of robotic technology for production. It is hoped that these targets will lower the impact *Kraft Heinz* production has on the environment by reducing its waste and greenhouse gases that contribute to global warming.

(a) Define the term **public limited company**.

(1)

(b) Outline **one** impact that will come from *Kraft Heinz*'s use of robotic technology.

(2)

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8. Question 3 · part d · 6 marks

2023 NOV · Paper 02

Further practice · Attempt part d only.

Figure 2 shows the amount of waste to landfill for *Kraft Heinz* from 2019 to 2021.

	Landfill (metric tons)
2019	100,595
2020	92,856
2021	82,617

Figure 2

(c) Calculate the decrease in waste to landfill in metric tons for *Kraft Heinz* from 2019 to 2021. You are advised to show your working.

(2)

..... metric tons

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8. Question 3 · part d · 6 marks

2023 NOV · Paper 02

Further practice · Attempt part d only.

(d) Analyse how *Kraft Heinz* could benefit from reducing its waste.

(6)

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8. Question 3 · part d · 6 marks

2023 NOV · Paper 02

Further practice · Attempt part d only.

Kraft Heinz will need to recruit more managers to take responsibility for new production lines. It is considering two options:

Option 1: promote existing employees

Option 2: advertise managerial positions externally.

(e) Justify which **one** of these two options *Kraft Heinz* should choose.

(9)

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8. Question 3 · part d · 6 marks · Working and answer

Working and answer

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